TAX POLICY CENTER TARIFF MODELS

Modeling tariff impacts on households, businesses, and regional economies

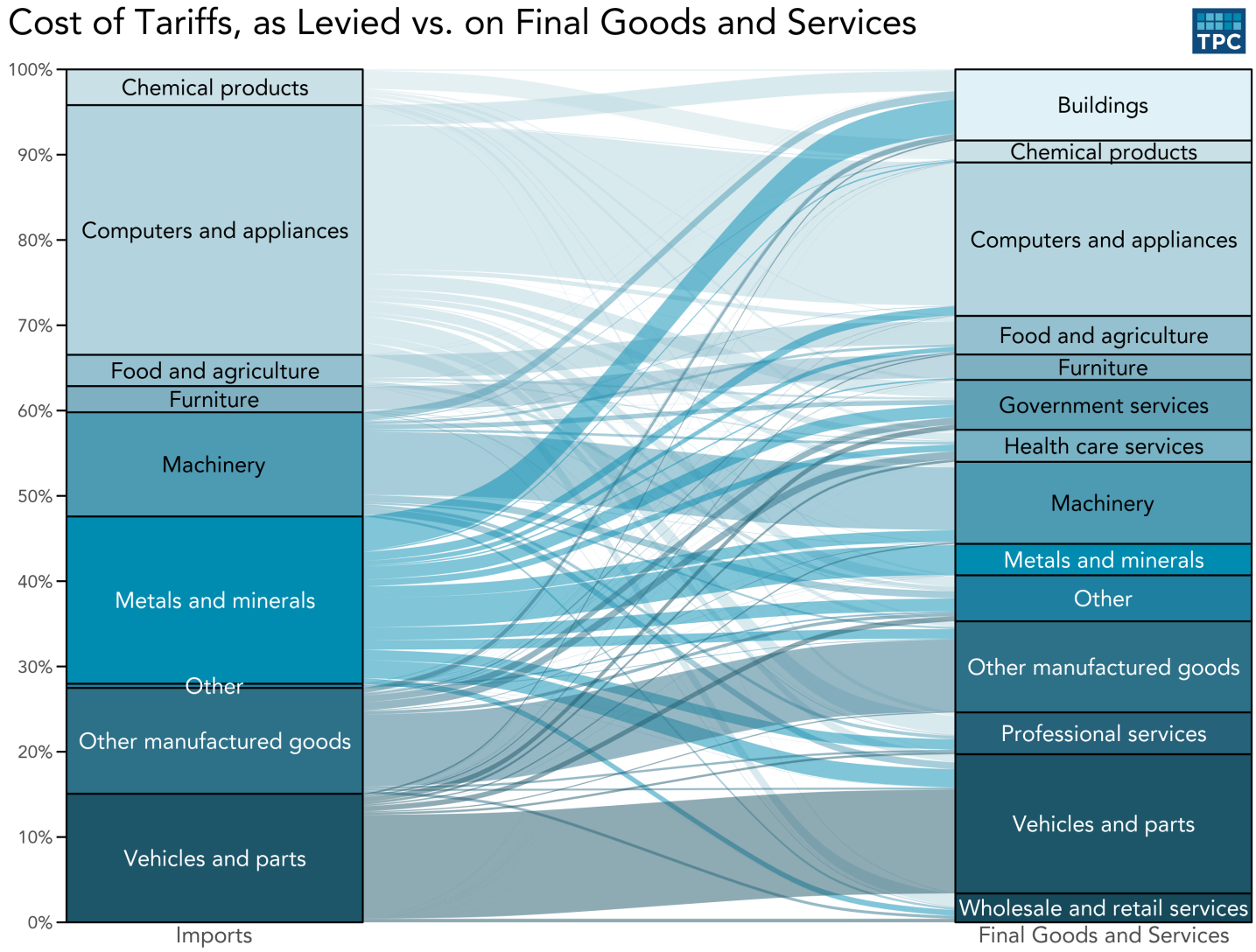
March 2026

As tariffs have re-emerged as a central feature of US economic policy, the Urban-Brookings Tax Policy Center (TPC) has developed rigorous models to assess how they affect federal revenues, businesses, and households - and how these effects play out across national, regional, and local economies. Our team is equipped to help decision-makers assess the impacts of tariffs on jobs and economic activity in their communities (by county and metropolitan statistical area, as well as by specific industry).

HOW OUR MODEL WORKS

TPC's tariff models have several unique capabilities:

- **Detailed tariff rates** — Computes detailed tariff rates on each product from each country, by the day.
- **Supply chain tracing** — Traces tariffs from intermediate imports, such as steel, to US-produced goods like automobiles and buildings.
- **Household-level impact** — Models the impacts of tariffs, and any remedial policies, on families by income and demographics, using hundreds of thousands of tax records.



Source: TPC Tariff Supply Chain Model v2.1 and Tariff Rules Engine v1.4

WHAT WE CAN PRODUCE

TPC can produce tariff impact estimates tailored to your county or metropolitan statistical area.

- **Industry-level analysis** — Measure tariff impact across industries; estimate changes in output, employment, earnings, and value-added driven by tariffs on imported inputs.
- **Government cost impact** — Quantify how tariffs raise procurement costs for local governments, including construction materials, vehicles, and equipment.

WHAT WE HAVE FOUND

- Construction costs are up one percent due to tariffs.
- Consumer automobile prices are 5.6 percent higher under current tariffs.
- Tariffs act like a flat tax, adding one percentage point to tax rates at every income level.
- Under current tariffs, including Section 122, more than 6 percent of tariff costs fall on state and local governments.

OUR MODELS

Tariff Rules Engine

Determines the tariff rate on each import, which requires sophisticated modeling because of complex exemptions and ever-changing policies.

Tariff Revenue Model

Estimates how much buyers will reduce their demand for imports, which affects the amount of tariffs paid.

Supply Chain Model

Determines which industries end up paying these tariffs based on input-output data on what inputs each industry uses.

Microsimulation Model

Analyzes impact at the household level, using detailed consumption and income data based on more than 200,000 tax records.

Please contact Robert McClelland (rmcclelland@urban.org), Thomas Brosy (tbrosy@urban.org), and John Wong (jwong@urban.org) with inquiries about TPC's tariff models.

TPC Tariff Tracker

TPC's Work on State and Local Finance